Markets

Exam code: 9BS0

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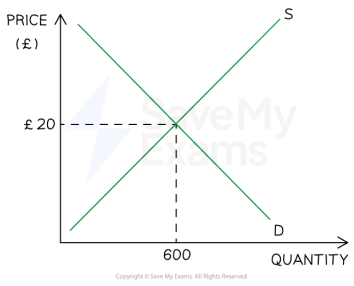
The interaction of supply and demand

- In a market, prices for goods/services are determined by the **interaction of demand and supply**
- A **market** is any place that brings **buyers** and **sellers** together to trade at an agreed price
  - Markets can be **physical** (e.g. McDonald's) or **virtual** (e.g. eBay)
  - Buyers agree on the price **by purchasing** the good/service
  - If they do not agree on the price, then they **do not purchase** the good/service
- Based on this interaction with buyers, **sellers** will gradually **adjust their prices** until there is an **equilibrium price** and **quantity** that works for both parties
  - At the equilibrium price, **sellers** will be satisfied with the **rate/quantity** of sales
  - At the equilibrium price, **buyers are satisfied** that the product provides benefits worth paying for

Equilibrium



A graph showing a market in equilibrium with a market-clearing price of £20 and quantity of 600 units

Diagram analysis

- If the price is set at £20, demand will equal supply, and an **equilibrium** is reached
  - 600 units will be demanded and supplied
  - If the price were set above the equilibrium, **supply would be greater** than demand, and there would be a surplus

Help me understand

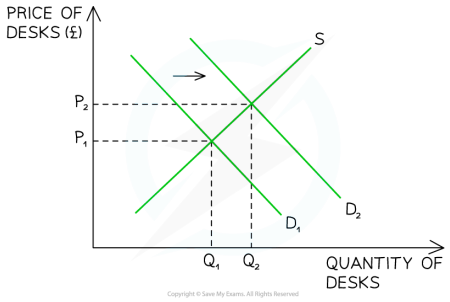
Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Dynamic changes in markets

- There are **four diagrams** that can be used to show the **causes and consequences** of changes to the non-price factors of demand and supply

The impact of changes to the non-price factors of demand and supply

A rise in demand

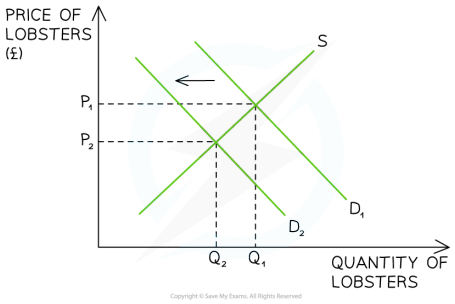


Supply and demand graph for desks, showing a rightward shift in demand from D1 to D2

Explanation

- The original equilibrium was at P_1 and Q_1
- A rise in demand causes the demand curve to **shift to the right** from $D_1 \rightarrow D_2$ (perhaps due to an increase in working from home)
- At the **original price** of P1, there is **now a shortage**, as demand exceeds the supply
- The shortage causes prices to rise from P_1 to P_2
- A **new equilibrium** develops at a price of P_2 and a quantity of Q_2 units
- The business revenue (P × Q) has changed from P_1Q_1 to P_2Q_2

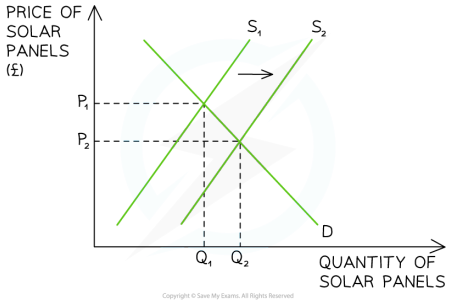
A fall in demand



Graph showing supply and demand for lobsters, with a leftward demand shift from D1 to D2

- A fall in demand causes the demand curve to **shift to the left** from $D_1 \rightarrow D_2$ (perhaps due to an external shock)
- At the **original price** of P1, there is **now a surplus**, as supply exceeds demand
- The surplus causes prices to fall from P_1 to P_2
- A **new equilibrium** develops at a price of P_2 and a quantity of Q_2 units
- The business revenue (P × Q) has changed from P_1Q_1 to P_2Q_2

A rise in supply



Supply and demand graph for solar panels, showing a shift from supply curve S1 to S2

Explanation

- The original equilibrium was at P_1 and Q_1
- A rise in supply causes the supply curve to **shift to the right** from $S_1 \rightarrow S_2$ (perhaps due to an increase in productivity)
- At the **original price** of P_1, there is **now a surplus**, as supply exceeds demand
- The surplus causes prices to fall from P_1 to P_2
- A **new equilibrium** develops at a price of P_2 and a quantity of Q_2 units
- The business revenue (P × Q) has changed from P_1Q_1 to P_2Q_2

A fall in supply

Supply and demand graph for plantains, showing S1 shifting left to S2

Explanation

- The original equilibrium was at P_1 and Q_1

- At the **original price** of P_1, there is **now a shortage**, as demand exceeds supply
- The shortage causes prices to rise from P_1 to P_2
- A **new equilibrium** develops at a price of P_2 and a quantity of Q_2 units
- The business revenue ($P \times Q$) has changed from P_1Q_1 to P_2Q_2

Examiner Tips and Tricks

When answering questions on changes to markets, remember that a change in the price of the good leads to a movement along the demand or supply curve, not a shift in the demand or supply curve.

Practise drawing and labelling demand and supply diagrams accurately, describing them step by step. This will help you gain analysis marks. You can also use demand and supply diagrams to illustrate changes in total revenue.

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All Subjects

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